



Governments and money

A country's government and central bank play a key role in the circulation of money in the economy. They monitor money supply, send funding to key sectors of society, and ensure that cash flows back to them for state spending.

How it works

A healthy economy requires a good money supply. Although it is difficult to control the supply of money directly, government monetary policy can help to influence it. The most important institution in monetary policy is the central bank (*see pp.100–103*), which is critical in determining interest rates and can be used to inject more money into the economy

via open market operations (*see pp.102–103*) or through quantitative easing (*see pp.124–125*). Governments may also control the flow of money via taxes and other capital controls, and by restricting borrowing and lending. However, these mechanisms are imperfect in the modern monetary system, since commercial banks are largely free to decide the terms of their lending. Attempts to directly control money supply tend to fail.

Money supply and a healthy economy

As a healthy body depends on a good blood supply to receive nutrients, so a healthy economy requires a good money supply to keep the cycle of spending going: as one person spends, another earns, then spends, and so on. If this cycle slows, the economy may begin to decline. The government, via the central bank—which is like the beating heart of the economy—helps to keep money flowing. Meanwhile, the government also ensures that funding reaches key areas of society, while collecting revenues for state spending. Economic policies around interest rates, reserve ratios, open market operations, and quantitative easing are all focused on maintaining money supply. A body may have optimal blood supply, but it is down to the cells to effectively utilize the nutrients. In the same way, while a government can improve money supply, economic growth then depends on how effectively individuals and businesses are able to convert this money into useful goods and services to raise living standards.

Money flows out

The central bank uses financial institutions as a conduit to increase the money supply. At the same time, government spending makes up a huge part of the economy.

Control of capital reserves

Interest rates

Monetary policy

Quantitative easing

Open market operations

Money flows in

The central bank receives money from investments and borrowing. Money also flows back to the state in the form of taxation.

